
COLORADO COURT OF APPEALS
No. 97CA0538

September 3, 1998
NOT SELECTED FOR PUBLICATION

Imogene M. Wottowa, individually, and as trustee for and under
the Imogene M. Wottowa Trust, January 30, 1985,

Plaintiffs-Appellees,

v.

Town of Telluride, Colorado, a home rule body politic of the
State of Colorado, its town council sitting as The Board of
Appeals to the Town of Telluride's Planning and Zoning
Commission; and the Town of Telluride Planning and Zoning
Commission, Michael Zivian, Chairperson, Kathy Green, Rebecca
Dant; Jim Jennings, Tom Weekes, and James Lucarelli as members
thereof; the Town of Telluride Town Council, and the members
thereof, Carlisle Connick, Yogi Kirst, Terry Tice, Michael
Covington, Robert Weatherford and Park Brady; Elaine Fischer, the
Mayor thereof; and BK Consolidated Holdings, Inc.,

Defendants-Appellants.

Appeal from the District Court of San Miguel County
Honorable Robert A. Brown, Judge
No. 96CV93

Division V
Opinion by JUSTICE ERICKSON*
Hume, C.J., and Vogt, J., concur

JUDGMENT AFFIRMED

Robert Korn, Joe G. McPhee, Telluride, Colorado, for Plaintiffs-
Appellees

Younge & Hockensmith, P.C., Earl G. Rhodes, Laurretta A. Martin
Sullivan, Grand Junction, Colorado; Sandra Stuller, Town
Attorney, Telluride, Colorado, for Defendants-Appellants

*Sitting by assignment of the Chief Justice under provisions of
the Colo. Const. art. VI, Sec. 5(3), and §24-51-1105, C.R.S.
1997.

Defendants, the Town of Telluride, its town council and planning and zoning commission, the members thereof (collectively Telluride) and BK Consolidated Holdings (BK), appeal from a summary judgment entered in favor of plaintiffs, Imogene Wottowa, individually, and as trustee for and under the Imogene Wottowa Trust. We affirm.

Plaintiffs own Lot 6 in the Boulder Village Subdivision in Telluride. The subdivision is a planned unit development (PUD). The original plat for the PUD was recorded in 1985.

BK is the current owner of Lot 3A in the same subdivision. Lot 3A is adjacent to and west of plaintiffs' lot. BK's lot was originally three lots, Lots 3, 4, and 5, but in 1988, the plat for the PUD was amended so that those three lots were consolidated into one, Lot 3A.

In connection with the replat of the PUD and the consolidation of the three lots, the setbacks for building were changed. The original setback on the east side of Lot 3 (the lot adjacent to plaintiffs' lot) was three feet. Upon consolidation, the setback on the east side was changed to twenty feet. The changes and amended plat were agreed to by all of the landowners in the PUD and all the landowners signed the amended plat. The amended plat was approved by Telluride and recorded.

In connection with the creation of the PUD, two written documents were executed by the original developer of the PUD.

The first was titled "Declaration Creating Boulder Village Driveway Association" and the second was titled "Declaration Creating Boulder Village Park Association." Although both documents created protective covenants or restrictions that were appurtenant to the land and enforceable by the landowners within the PUD, neither document specifically dealt with setback requirements. The only explicit statements dealing with setbacks were contained in the plat and amended plat.

In 1996, BK submitted an application to Telluride to change the plat which created Lot 3A. BK sought approval to divide the lot into two lots and to rescind the twenty-foot setback on the east side. BK did not obtain the consent of plaintiff or other landowners regarding this proposed change and argued that no such consent was required. Eventually, the Planning and Zoning Commission approved the request, and on appeal by the plaintiffs, Telluride upheld the change in the setback requirement.

Plaintiffs sought judicial review of Telluride's approval of the changes to the PUD. The district court granted plaintiff's motion for summary judgment, and this appeal followed.

I.

Telluride contends the trial court committed reversible error by declaring that the setbacks requirements are valid, enforceable, private covenants running with the land and, consequently, that all PUD landowners must consent to the PUD amendment. We disagree.

General rules of contract interpretation apply to the interpretation of restrictive covenants. Restrictive covenants must be construed as a whole and interpreted in view of their underlying purposes, giving effect to all provisions contained therein. Wilson v. Goldman, 699 P.2d 420 (Colo. App. 1985).

The Declaration Creating Boulder Village Park Association provides in part:

For the purpose of enhancing and protecting the value, attractiveness and desirability of the lots or tracts constituting such subdivision, Declarant hereby declares that all of the real property described above and each part thereof shall be held, sold, and conveyed only subject to the following easements, covenants, conditions, and restrictions, which shall constitute covenants running with the land and shall be binding on all parties having any right, title, or interest in the above described property or any part thereof, their heirs, successors, and assigns, and shall inure to the benefit of each owner thereof (emphasis added)

The Declaration, article One, section 9, states:

‘Unit’ shall mean each individual dwelling unit as restricted and designated on the recorded subdivision plat referred to above, whether constructed or not. (emphasis added)

While the above-quoted Declaration does not specifically create restrictions regarding setbacks, it does reference the plat and the fact that the plat contains additional restrictions. Furthermore, in McDowell v. U.S., 870 P.2d 656 (Colo. App. 1994), a division of this court determined that building setback

restrictions that run with the land may be contained in a PUD plat and, as such, are enforceable by the landowners in the PUD.

In McDowell, the court approved Steyers v. Mara, 631 P.2d 1138 (Colo. App. 1981), and stated:

We note that although setback requirements are frequently enacted in the form of a zoning ordinance, see Landmark Universal, Inc. v. Pitkin County Board of Adjustment, 40 Colo. App. 444, 579 P.2d 184 (1978), setback requirements are not necessarily zoning matters. Kipp v. Incorporated Village of Ardsley, 216 N.Y.S.2d 893, 13 A.D.2d 1012 (1961); see also Town of Jaffrey v. Heffernan, 104 N.H. 249, 183 A.2d 246 (1962). The power to establish setback requirements is distinct from zoning power and may have its source in some other grant of authority. See Council of Chevy Chase View v. Rothman, 323 Md. 674, 594 A.2d 1131 (1991); Howell v. Liebowitz, 116 N.Y.S.2d 537 (Misc. 1952). Thus, a setback requirement may be adopted as a building restriction or as part of a building code. Village of Wind Point v. Halverson, 38 Wis.2d 1, 155 N.W.2d 654 (1968).

Accordingly, we agree with the Styers court that a setback requirement contained within a duly adopted PUD plat is a building restriction concerning real property as contemplated by § 38-41-119.

McDowell v. U.S., supra, 870 P.2d at 659.

Contrary to Telluride's contention, McDowell did not simply resolve a statute of limitations issue. Its analysis is equally applicable to the issue presented here, and the trial court did not err in relying on the case to rule for the plaintiffs.

Additionally, the record shows that BK received notice of the restrictions by virtue of the recording of the plat and

declarations, as well as the reference to these documents on its deed. Furthermore, the fact that all affected landowners agreed to and were required to sign off on the changes made in 1988 put BK on notice that landowner approval was required for changes to the PUD.

Hence, we conclude the building setbacks contained on the amended PUD plat are building restrictions which are covenants that run with the land. These restrictions cannot be modified by the unilateral action of Telluride exercising its zoning authority. Such changes require the concurrent approval of the convenantees and, in this particular PUD, approval of all of the PUD landowners.

II.

Telluride contends the trial court committed reversible error by relying on McDowell v. U.S., supra, to rule in favor of plaintiffs. It argues that the holding in McDowell is limited to the determination of whether §38-41-119, C.R.S. 1997, is applicable. We are not persuaded that the McDowell holding rests on any such distinction; hence we perceive no error.

Accordingly, the judgment is affirmed.

CHIEF JUDGE HUME and JUDGE VOGT concur.